

Life Insurance Corporation of India

LICI

49.5%
ROE

57.5%
ROCE

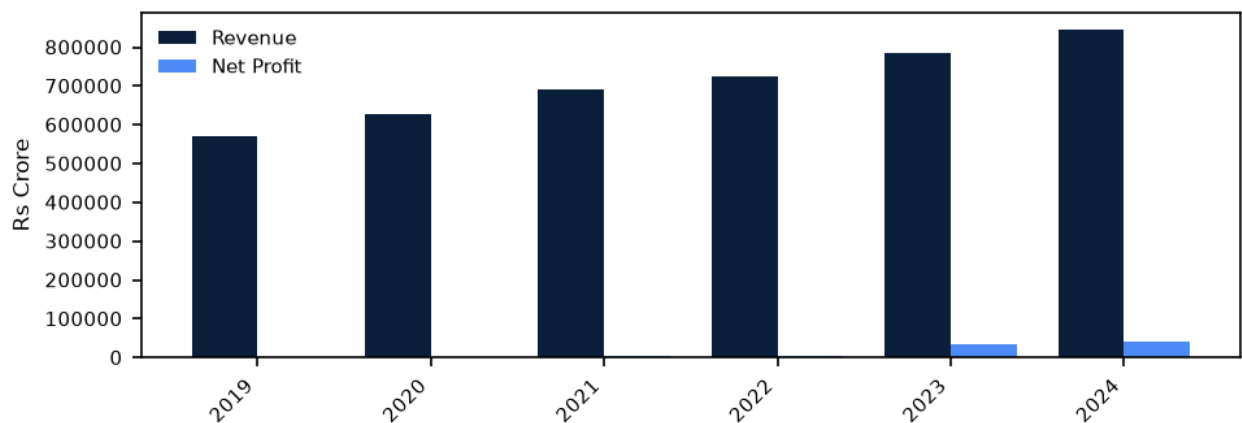
0.0x
D/E

3.9%
OPM

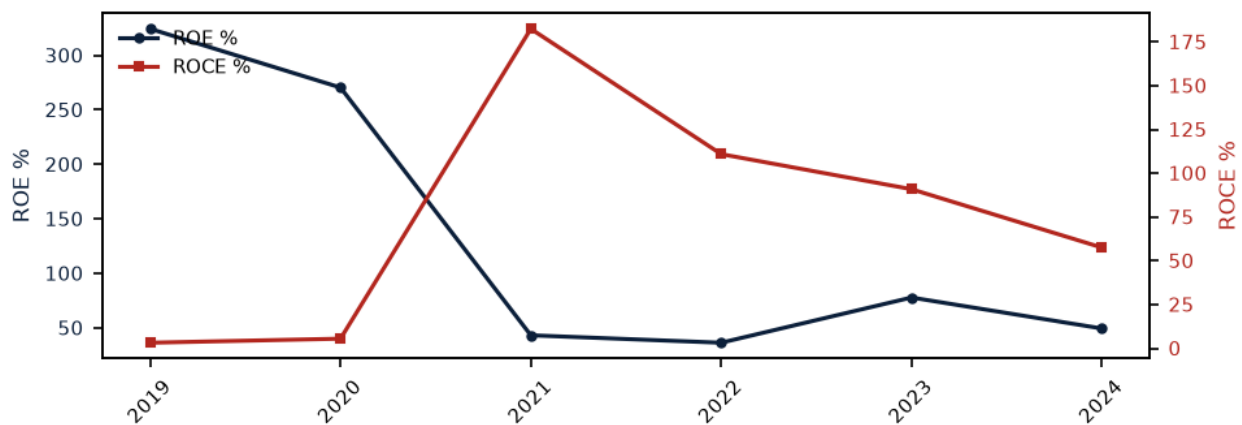
8.2%
Revenue CAGR 5yr

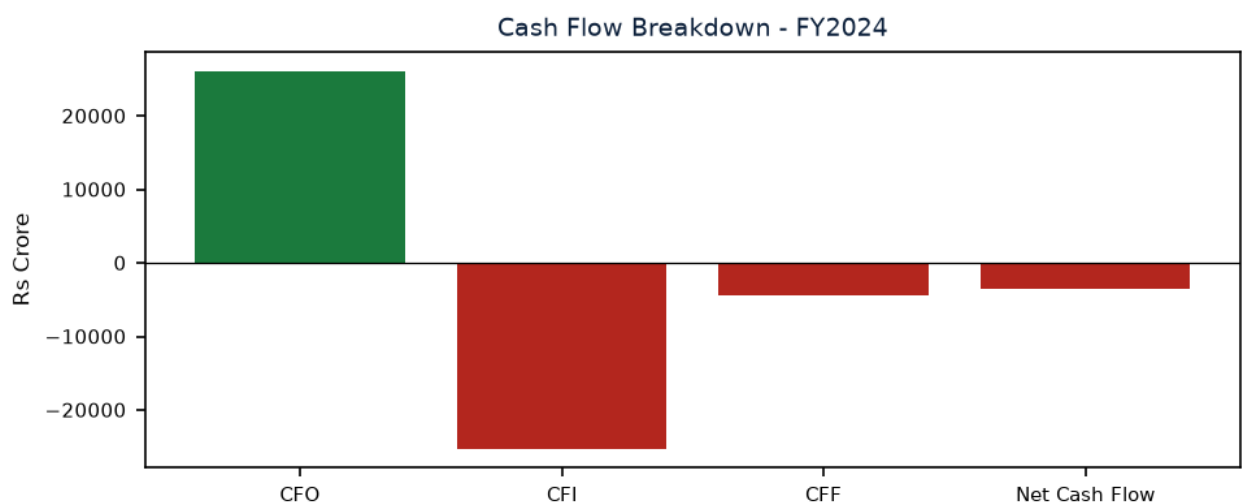
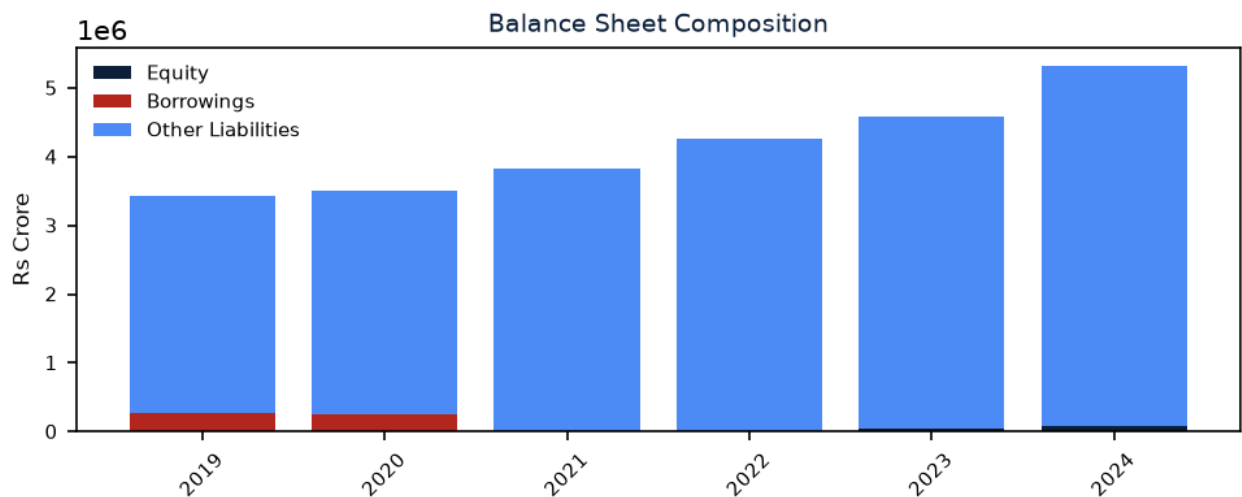
73.2%
PAT CAGR 5yr

10-Year Revenue vs Net Profit



ROE vs ROCE Trend





Pros

- + Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- + Revenue growing slower than profits shows improving operating leverage and scale benefits
- + Net profit compounding at above 20% over 5 years creates significant shareholder value
- + Debt-free balance sheet provides financial flexibility and eliminates interest burden
- + Strong free cash flow generation over 5 years signals healthy business fundamentals
- + Very high interest coverage ratio reflects negligible financial stress from debt servicing

Cons

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

Capital Allocation Pattern

Reinvestor